WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

FINANCIAL STATEMENTS
JUNE 30, 2023 AND 2022
AND FOR THE YEARS THEN ENDED

WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

JUNE 30, 2023 AND 2022

C O N T E N T S

davidson fox
CERTIFIED PUBLIC ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

To the Board of Trustees
WSKG Public Telecommunications Council

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of WSKG Public Telecommunications Council (a nonprofit New York corporation), which comprise the statement of financial position as of June 30, 2023, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of WSKG Public Telecommunications Council as of June 30, 2023 and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with the auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of WSKG Public Telecommunications Council and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about WSKG Public Telecommunications Council's ability to continue as a going concern for one year after the date that the financial statements are issued.

33 Lewis Road, 2nd Floor • Binghamton, New York 13905
121 E. Seneca Street, 5th Floor • Ithaca, New York 14850
P: 607.722-5386 • F: 607.722.7682
davidsonfox.com

INDEPENDENT AUDITOR'S REPORT
(Continued)

Auditor's Responsibility

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detected a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of WSKG Public Telecommunications Council's internal control. Accordingly, no such opinion is expressed.

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements. as well as evaluate the overall presentation of the financial statements.

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about WSKG Public Telecommunications Council's ability to continue as a going concern for a reasonable period.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

INDEPENDENT AUDITOR'S REPORT
(Continued)

Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The statement of activities by category on pages 23 and 24 is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Report on Summarized Comparative Information

We have previously audited WSKG Public Telecommunications Council's June 30, 2022 financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated February 8, 2023. In our opinion, the summarized comparative information presented herein as of and for the year ended June 30, 2022 is consistent, in all material respects, with the audited financial statements from which it has been derived.

Davidson, Fox + Company, LLP

Binghamton, New York
February 12, 2024

WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

STATEMENTS OF FINANCIAL POSITION
JUNE 30, 2023 AND 2022

ASSETS

	2023	2022
CURRENT ASSETS		
Cash and cash equivalents	$ 467,780	$ 625,373
Receivables		
Business sponsorship accounts, net	123,006	181,848
Grants and other promises to give, net	15,000	55,000
Pledges, net	429,146	443,919
Investments, available for sale	785,697	768,384
Programming rights, current portion	50,402	40,502
Other current assets	93,600	72,382
TOTAL CURRENT ASSETS	1,964,631	2,187,408
OTHER ASSETS		
Investment in Centralcast, LLC	477,115	540,100
Investments, endowment fund	473,962	423,873
Programming rights, net of current portion	32,183	24,775
Broadcasting facilities and equipment, net	3,634,614	3,093,940
Aquisitions in progress	49,535	861,058
TOTAL OTHER ASSETS	4,667,409	4,943,746
	$ 6,632,040	$ 7,131,154

See accompanying notes to financial statements

LIABILITIES AND NET ASSETS

		2023		2022
CURRENT LIABILITIES				
Current portion of long-term debt	$	63,042	$	63,042
Accounts payable		52,084		134,403
Accrued expenses		463,961		431,183
Deferred revenues, current portion		278,224		84,951
TOTAL CURRENT LIABILITIES		857,311		713,579
LONG-TERM LIABILITIES				
Long-term debt, net of current portion		404,517		467,559
Deferred revenues, net of current portion		75,576		113,364
Lease deposits		12,000		12,000
TOTAL LONG-TERM LIABILITIES		492,093		592,923
TOTAL LIABILITIES		1,349,404		1,306,502
NET ASSETS				
Without donor restrictions		4,946,399		5,488,415
With donor restrictions		336,237		336,237
TOTAL NET ASSETS		5,282,636		5,824,652
	$	6,632,040	$	7,131,154

WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

STATEMENTS OF ACTIVITIES
FOR THE YEARS ENDED JUNE 30, 2023 AND 2022

	June 30, 2023		
	Without Donor Restrictions	With Donor Restrictions	Total 2023
SUPPORT AND REVENUE			
Membership and contributions	$ 2,070,937	$ -	$ 2,070,937
Government grants and support	2,339,016	-	2,339,016
Program sponsorship	587,957	-	587,957
Net investment gain	66,250	-	66,250
Income (loss) from Centralcast, LLC	(62,985)	-	(62,985)
Other	318,031	-	318,031
Net assets released from restrictions	-	-	-
TOTAL SUPPORT AND REVENUE	5,324,521	-	5,324,521
EXPENSES			
Program services	4,094,152	-	4,094,152
Support services	1,772,385	-	1,772,385
TOTAL EXPENSES	5,866,537	-	5,866,537
CHANGE IN NET ASSETS	(542,016)	-	(542,016)
NET ASSETS, beginning	5,488,415	336,237	5,824,652
NET ASSETS, ending	$ 4,946,399	$ 336,237	$ 5,282,636

See accompanying notes to financial statements

June 30, 2022		
Without Donor Restrictions	With Donor Restrictions	Total 2022
$ 2,565,074	$ 283,558	$ 2,848,632
2,870,300	-	2,870,300
667,887	-	667,887
(47,023)	-	(47,023)
50,330	-	50,330
80,429		80,429
-	-	-
6,186,997	283,558	6,470,555
3,920,651	-	3,920,651
1,718,951	-	1,718,951
5,639,602	-	5,639,602
547,395	283,558	830,953
4,941,020	52,679	4,993,699
$ 5,488,415	$ 336,237	$ 5,824,652

WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED JUNE 30, 2023
WITH COMPARATIVE TOTALS FOR JUNE 30, 2022

	Program Services						Support Services						
	Youth Focused	News and Public Affairs	Arts and Culture	History and Heritage	Engineering	Total Programs	Business Sponsorship and Development	Strategic Planning and Community Development	General and Administrative	Total Support	2023 Total	2022 Total	
(1) Salaries and wages	$ 176,707	$ 486,443	$ 221	$ 433,002	$ 190,742	$ 1,287,115	$ 478,172	$ 197,863	$ 57,983	$ 734,018	$ 2,021,133	$ 1,853,881	(1)
(2) Payroll taxes	14,368	33,778	-	28,341	14,382	90,869	33,995	13,897	4,350	52,242	143,111	131,691	(2)
(3) Employee fringe benefits	140,714	61,094	-	82,891	2,094	286,793	57,013	5,308	(126)	62,195	348,988	338,926	(3)
(4) Professional development	990	2,150	-	-	106	3,246	4,123	5,113	-	9,236	12,482	8,519	(4)
(5) Travel and functions	3,787	6,123	715	5,168	375	16,168	5,753	710	-	6,463	22,631	14,370	(5)
(6) Program acquisitions	-	220,979	86,073	-	-	307,052	-	-	-	-	307,052	406,094	(6)
(7) Network fees	-	393,476	28,404	-	22,324	444,204	-	-	-	-	444,204	371,988	(7)
(8) Printing	137	-	-	-	-	137	306	-	-	306	443	237	(8)
(9) Building lease	-	-	-	-	271,254	271,254	-	-	-	-	271,254	269,427	(9)
(10) Equipment rental and lease	-	-	-	-	-	-	-	5,258	-	5,258	5,258	3,931	(10)
(11) Repairs and maintenance	689	-	-	-	97,173	97,862	150,037	-	2,885	152,922	250,784	242,937	(11)
(12) Professional fees	-	473	8,520	-	4,241	13,234	-	60,422	111,985	172,407	185,641	192,353	(12)
(13) Office supplies	122	3,528	-	-	-	3,650	739	1,225	140	2,104	5,754	6,214	(13)
(14) Postage and shipping	118	39	1,679	-	1,524	3,360	18,792	-	39	18,831	22,191	22,532	(14)
(15) Production and supplies	72,170	6,086	510,837	11,603	144,946	745,642	-	-	-	-	745,642	693,118	(15)
(16) Advertising	-	249	-	-	-	249	30,387	-	17,338	47,725	47,974	14,140	(16)
(17) Premiums	-	-	-	-	-	-	23,588	-	-	23,588	23,588	13,562	(17)
(18) Dues and subscriptions	328	1,126	424	31	-	1,909	5,795	1,590	30	7,415	9,324	17,128	(18)
(19) Other program expenditures	7,414	-	-	-	-	7,414	-	-	-	-	7,414	4,919	(19)
(20) Special events/planned giving	1,808	1,500	-	-	-	3,308	6,410	-	-	6,410	9,718	9,964	(20)
(21) Information technology	-	-	-	-	17,690	17,690	2,488	11,873	-	14,361	32,051	19,537	(21)
(22) Telemarketing	-	-	-	-	-	-	7,659	-	-	7,659	7,659	7,886	(22)
(23) Direct mail	-	-	-	-	-	-	88,910	-	-	88,910	88,910	101,346	(23)
(24) APTS/APBS Council expense	-	-	-	-	-	-	-	36,422	-	36,422	36,422	26,615	(24)
(25) Miscellaneous	449	1,564	2,280	27,715	50	32,058	60,818	795	16,011	77,624	109,682	136,281	(25)
(26) Subtotal	419,801	1,218,608	639,153	588,751	766,901	3,633,214	974,985	340,476	210,635	1,526,096	5,159,310	4,907,596	(26)
(27) Insurance	-	-	-	-	-	-	95,646	-	-	95,646	95,646	85,725	(27)
(28) Interest	-	-	-	-	-	-	20,606	-	1	20,607	20,607	26,300	(28)
(29) Utilities	-	-	-	-	89,030	89,030	-	-	-	-	89,030	134,532	(29)
(30) Telephone	760	3,640	-	960	21,171	26,531	2,160	352	24,653	27,165	53,696	39,567	(30)
(31) Depreciation & amortization	18,846	82,544	178,405	11,307	54,275	345,377	64,326	13,694	24,851	102,871	448,248	445,882	(31)
(32) Total functional expenses	$ 439,407	$ 1,304,792	$ 817,558	$ 601,018	$ 931,377	$ 4,094,152	$ 1,157,723	$ 354,522	$ 260,140	$ 1,772,385	$ 5,866,537	$ 5,639,602	(32)

See accompanying notes to financial statements

WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

STATEMENTS OF CASH FLOWS
YEARS ENDED JUNE 30, 2023 AND 2022

	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	$ (542,016)	$ 830,953
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Depreciation and amortization	448,248	445,882
Loss on disposal of property and equipment	847	159,964
Gain on sale of investments	(41,152)	-
Unrealized loss on investments	11,538	60,650
(Gain) loss from investment in Centralcast, LLC	62,985	(50,330)
Non-cash contributions	(10,364)	-
(Increase) decrease in		
Receivables	113,615	(197,965)
Programming rights	(17,308)	1,365
Other assets	(21,218)	(5,486)
Increase (decrease) in		
Accounts payable	(82,319)	(88,727)
Accrued expenses	32,778	98,946
Deferred income	155,485	(807,508)
Lease deposits	-	(4,500)
NET CASH PROVIDED BY OPERATING ACTIVITIES	111,119	443,244
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchases of property and equipment and acquistions in progress	(178,246)	(984,711)
Proceeds from sale of investments	149,798	-
Purchases of investments	(177,222)	(297,832)
NET CASH USED IN INVESTING ACTIVITIES	(205,670)	(1,282,543)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments on long-term debt	(63,042)	(63,042)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(157,593)	(902,341)
CASH AND CASH EQUIVALENTS, beginning	625,373	1,527,714
CASH AND CASH EQUIVALENTS, ending	$ 467,780	$ 625,373

See accompanying notes to financial statements

NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2023 AND 2022

ORGANIZATION

Nature of Operations

The Council is a non-profit New York Corporation, which operates a non-commercial public television station with four channels (WSKG, PBS Kids, World, and Create) and two non-commercial public FM radio stations (WSKG and WSQX) covering 21 counties in New York and Pennsylvania. The Council maintains its accounting records in conformity with the Principles of Accounting and Financial Reporting for Public Telecommunication Entities mandated by The Corporation for Public Broadcasting (CPB), which is in accordance with generally accepted accounting principles.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation

The financial statements presented in accordance with Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) 958-205, *Not-for-Profit Entities*, *Presentation of Financial Statements*. During 2018, the Organization adopted the provisions of Accounting Standards Update (ASU) 2016-14: *Not-for-Profit-Entities (Topic 958) Presentation of Financial Statements of Not-for-Profit Entities*, which improves the current net asset classification and the related information presented in the consolidated financial statements and notes about the Organization's liquidity, financial performance, and cash flows.

Basis of Accounting

The Council uses the accrual method of accounting, recognizing revenues as earned and expenses as incurred, and conforms to standards of accounting and reporting appropriate to not-for-profit organizations. With the adoption of ASU 2016-14, the financial statements presentation of net assets has been modified, eliminating unrestricted, temporarily restricted, and permanently restricted classifications, and replacing them with the following.

Net assets without donor restrictions – Net assets without donor-imposed restrictions and are available for use at the discretion of the Board and/or management for general operating purposes.

Net assets with donor restrictions – Net assets with donor restrictions consist of assets whose use is limited by donor-imposed, time, and/or purpose restrictions.

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements. Estimates also affect the reported amount of revenues and expenses during the reporting period. Actual results could differ from these estimates.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Cash and Cash Equivalents

The Council considers cash on hand, deposits, and securities with maturities of three months or less to be cash equivalents.

Programming Rights

Programming rights represent costs incurred for programs not yet telecast. These are programs that will be aired principally in the next fiscal year. Such rights are amortized over the contract period.

Accounts and Pledges Receivable

Business sponsorship accounts and pledges receivable are stated at the amount management expects to collect from outstanding balances. Balances that are still outstanding after management has used reasonable collection efforts are written off. Based on management's evaluation of uncollected accounts and pledges receivable at the end of each year, bad debts are provided for on the allowance method.

Details of business sponsorship accounts and pledges receivable as of June 30, 2023 and 2022 are as follows:

	2023	2022
Business sponsorship accounts receivable	$ 142,921	$ 195,600
Allowance for doubtful accounts	(19,916)	(13,752)
Business sponsorship and trade accounts receivable, net	$ 123,006	$ 181,848
Pledges receivable	$ 474,606	$ 493,240
Allowance for doubtful accounts	(45,461)	(49,321)
Pledges receivable, net	$ 429,146	$ 443,919

Grants Receivable and Promises to Give

As of June 30, the Council had grants receivable and promises to give from various organizations, as follows:

	2023	2022
Cornell University	$ 15,000	$ 55,000

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Inventory

Premium inventory is stated at the lower of cost or market value and is accounted for on a first-in, first-out (FIFO) basis. Inventory is included in other current assets on the balance sheet. As of June 30, 2023 and 2022, inventory amounted to $13,091 and $22,153, respectively, and is included in other current assets.

Investments

Investments in marketable securities with readily determinable fair values and all investments in debt securities are reported at their fair values in the statement of financial position. Unrealized gains and losses are included in the change in net assets.

Broadcasting Facilities and Equipment

Broadcasting facilities and equipment are recorded at cost. Contributed property and equipment is recorded at its fair value at the date of donation. If donors stipulate how long the assets must be used, the contributions are recorded as with donor restricted support. In the absence of such stipulations, contributions of property and equipment are recorded as without donor restricted support. Expenditures for maintenance and repairs are charged to expense as incurred. Upon disposal or retirement of assets, the cost and accumulated depreciation or amortization is eliminated from the accounts and any resulting gain or loss is included in income. Depreciation is computed on the straight-line method over the following estimated useful lives:

	Years
Vehicles	3 - 7
Furniture and equipment	5 - 25
Building and improvements	10 - 30

Income Tax Status

The Council is exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code. However, income from certain activities not directly related to the Council's tax-exempt purpose is subject to taxation as unrelated business income.

Revenue Recognition

In May 2014, the Financial Accounting Standards Board issued Accounting Standards Update ASU No. 2014-09, *Revenue from Contracts with Customers* (Topic 606). The Council adopted the new standard effective July 1, 2020, the first day of The Council's fiscal year, using the full retrospective method. Analysis of various provisions of this standard resulted in no significant changes in the way The Council recognizes revenue, and therefore no changes to the previously issued audited financial statements were required on a retrospective basis. The presentation and disclosures of revenue have been enhanced in accordance with the standard.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Revenue Recognition (Continued)

Additionally, The Council applied the practical expedient not to disclose the transaction price allocated to unsatisfied or partially unsatisfied performance obligations as of the end of the reporting period when the performance obligations relate to contracts with an expected duration of less than one year. The Council's adoption of ASC 606 did not materially impact the timing or amount of revenue recognized and thus has no material impact on the financial statements at June 30, 2023 and 2022.

The Council's significant revenue recognition policies relative to its primary sources of revenue, contributions & grants, program sponsorship, and membership are outlined below. Additional revenue disaggregation for rental and miscellaneous income can be found in notes 13 and 15, respectively.

Contributions, Memberships & Grants – The Council receives contributions and grants from individuals, foundations, donor advised funds, and other charitable organizations. Contributions are recognized as revenue, at fair value, on the earlier of the receipt of cash or an unconditional promise to give. Contributions which impose restrictions that are met in the same fiscal year the contribution is received are reported as increases in net assets without donor restrictions. Expirations of donor restrictions (i.e., the donor stipulated purpose has been fulfilled and/or the stipulated time has elapsed) in subsequent years are reported as "Net assets released from donor restrictions" in the Statements of Activities.

Grants awarded by federal agencies are generally considered nonreciprocal transactions restricted by the awarding agency for certain purposes, and revenue is recognized when qualifying expenditures are incurred and conditions under the grant agreements are met.

Membership dues - Fees charged by The Council for the right to access and deliver to listeners The Council's distributed programming. The duration of the underlying customer contracts corresponds to The Council's fiscal year. Although The Council does not execute a contract with its members, management considers payment of annual dues, based on prices determined by The Council to constitute member acceptance of the offered benefits. Management expects to collect all amounts invoiced; therefore, management does not reverse amounts recognized during the year for invoiced but unpaid member dues. The membership period corresponds to The Council's fiscal year.

Governmental grants, contributions, memberships and other grants include the following at June 30:

	2023	2022
CPB Community Service grants	$ 1,056,937	$ 1,001,763
Other CPB grants	175,989	802,617
PBS grants	-	25,500
NYS grants	1,106,037	928,025
FCC Spectrum Incentive Auction	53	112,395
Total grants and support	$ 2,339,016	$ 2,870,300

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Revenue Recognition (Continued)

	2021	2022
Non-profit grants	$ 55,067	$ 301,713
Memberships	1,381,863	1,690,596
Major gifts	473,092	855,878
Other contributions	160,915	445
Total membership and contributions	$ 2,070,937	$ 2,848,632

Program Sponsorship – The Council recognizes revenue from the following sources in an amount to which The Council has the right to invoice. The Council may invoice customers when television and radio sponsorship acknowledgments run, impressions on public broadcasting internet sites are delivered (i.e., the number of times the sponsorship appears in viewed internet pages), podcasts containing sponsorship credits are downloaded, and special events occur. The Council has concluded that they have a right to consideration from a customer in an amount that corresponds directly with the value to the customer of The Council's performance completed to date.

	2023	2022
Private colleges	$ 13,506	$ 16,500
State supported colleges	3,200	-
Non-profit organizations	178,698	165,684
Businesses	372,238	484,383
Trades	20,315	1,320
Total program sponsorship	$ 587,957	$ 667,887

Presentation of Sales Taxes

The State of New York (NYS) and most of its counties impose a sales tax on all of the Council's sales of tangible goods to non-exempt customers. The Council collects the tax from customers and remits the entire amount to NYS. The Council's accounting policy is to exclude the tax collected and remitted to NYS from revenues and expenses.

Advertising

The Council follows the policy of expensing advertising costs as incurred. Advertising expense was $47,974 and $14,140 for the years ended June 30, 2023 and 2022, respectively.

Functional Allocation of Expenses

The costs of providing program services have been summarized on a functional basis in the Statement of Functional Expenses. Accordingly, certain costs have been allocated among the programs benefited.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Subsequent Events

The Council has evaluated events and transactions that have occurred between July 1, 2023 and February 12, 2024, which is the date the financial statements were available to be issued, for possible disclosure and recognition in the financial statements.

Reclassifications

Certain amounts from the 2022 financial statements have been reclassified to conform to the presentation for 2023. Changes in net assets as previously reported was not impacted by this reclassification.

NOTE 2 - CONCENTRATIONS

Credit Risk - Cash and Cash Equivalents

The Council maintains its cash balances in various accounts at several financial institutions located in Binghamton, New York. All accounts at each institution are insured by the Federal Deposit Insurance Corporation (FDIC) up to $250,000. The Council's uninsured balances as of June 30, 2023 and 2022 were $258,486 and $411,108 respectively.

Revenues

Revenues from two major funding sources, New York State Department of Education and the Corporation for Public Broadcasting (CPB), compromised approximately 42% and 41% of income during each of the years ending June 30, 2023 and 2022, respectively.

NOTE 3 - INVESTMENT IN CENTRALCAST, LLC

In June 2012, the Council and seven other public broadcasting entities formed Centralcast, LLC (Centralcast) for the purposes of establishing and operating a joint master control facility. Centralcast is organized and operated under section 501(c)(3) of the Internal Revenue Code. In accordance with ASU 2016-01: *Recognition and Measurement of Financial Assets and Financial Liabilities,* The Council has elected to measure this equity security without a readily determinable fair value at its cost minus impairment, if any, plus or minus changes resulting from observable price changes. There were no instances of impairment, nor any observable price changes for both the years ending June 31, 2023, and 2022.

The Council currently holds an ownership interest of 10% in Centralcast and its investment activity in Centralcast is summarized as follows for the years ended June 30:

	2023	2022
Investment, beginning	$ 540,100	$ 489,770
Allocable net income (loss)	(62,985)	50,330
Investment, ending	$ 477,115	$ 540,100

NOTE 3 - INVESTMENT IN CENTRALCAST, LLC (Continued)

Under the terms of the LLC's operating agreement, the Council is obligated to enter into a Joint Master Control (JMC) Service Level Agreement, whereby Centralcast will provide joint master control services. The Council incurred $140,617 in expenses for these services during each of the years ending June 30, 2023 and 2022, respectively.

NOTE 4 - INVESTMENTS AND FAIR VALUE MEASUREMENTS

Generally accepted accounting principles establish a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. This hierarchy consists of three broad levels: Level 1 inputs consist of unadjusted quoted prices in active markets for identical assets and have the highest priority, Level 2 inputs consist of observable inputs other than quoted prices for identical assets, and Level 3 inputs have the lowest priority. The Council uses appropriate valuation techniques based on the available inputs to measure the fair value of its investments. When available, the Council measures fair value using Level 1 inputs because they generally provide the most reliable evidence of fair value. All investments held by the Council were classified as Level 1 investments; there were no investments valued using Level 2 and Level 3 inputs.

The fair values of the mutual funds are based on quoted market prices. The unit price for these investments held by the Council are revalued and published on an actively traded market at least daily. The following summarizes the Council's available for sale and endowment investments:

	Cost	Fair Value
June 30, 2023		
Cash equivalents	$ 20,282	$ 20,282
Mutual funds:		
Bond funds	477,603	471,948
Equity index funds	773,008	767,464
Total investments	$ 1,270,893	$ 1,259,694
June 30, 2022		
Cash equivalents	$ 284,115	$ 284,115
Mutual funds:		
Bond funds	428,379	418,306
Equity index funds	479,476	489,836
Total investments	$ 1,191,969	$ 1,192,257

Unrecognized holding losses on securities amounted to $(11,538) and $(60,650) for the years ended June 30, 2023 and 2022, respectively, and have been included in the Statements of Activities.

NOTE 5 - BROADCASTING FACILITIES AND EQUIPMENT

Broadcasting facilities and equipment at June 30 are comprised of the following:

	2023	2022
Land	$ 128,429	$ 128,429
Building	4,631,197	3,737,026
Studio and technical equipment	5,281,710	5,266,339
Transmitter/translator equipment, antenna and tower	6,391,753	6,388,259
Public radio equipment	685,904	652,244
Satellite interconnect system	190,534	190,534
Furniture and fixtures	173,781	161,236
Data processing equipment	216,324	216,324
Vehicles	56,654	56,654
Tenant leasehold improvements	248,704	248,704
Back-up generator	242,114	230,245
Total broadcasting facilities and equipment	18,247,104	17,275,995
Less: accumulated depreciation	(14,612,490)	(14,182,055)
Total	$ 3,634,614	$ 3,093,940

Depreciation and amortization expense amounted to $448,249 and $445,880 for the years ended June 30, 2023 and 2022, respectively.

NOTE 6 - LINE OF CREDIT

The Council has a $400,000 line of credit with a bank to be drawn upon as needed, with interest set at the prime lending rate (8.25% at June 30, 2023). The balance on the line amounted to $-0- at both June 30, 2023 and 2022.

NOTE 7 - LONG-TERM DEBT

Long-term debt consists of the following at June 30:

	2023	2022
Mortgage payable to a bank in 59 monthly installments of $5,253, plus interest at 4.19%, with all unpaid principal due in September 2030. The mortgage is collateralized by a building and the assignment of leases.	$ 467,559	$ 530,601
Less: current portion	(63,042)	(63,042)
Long-term debt	$ 404,517	$ 467,559

NOTE 7 - LONG-TERM DEBT (Continued)

Maturities of long-term debt are as follows:

Year Ending June 30,	Amount
2024	$ 63,042
2025	63,042
2026	63,042
2027	63,042
2028	63,042
Thereafter	152,349
Total	$ 467,559

The Council's mortgage contains various limitations and covenants, including delivery of audited financial statements within 120 days of year end and meeting a debt service coverage ratio. As of June 30, 2023, the Council followed all covenants, except for the required delivery of audited financial statements within 120 days.

NOTE 8 - DEFERRED REVENUES

In April 2021, the Council received emergency stabilization funding from the Corporation for Public Broadcasting of $223,820 for radio and $495,302 for television as a part of the American Rescue Act. These funds are considered unrestricted and have no expenditure period. At the board of trustees' discretion, and through comparable stations actions, it was determined that these funds were to be used during the year ended June 30, 2022. As of June 30, 2022, $46,234 of these funds remain unspent and are included in deferred revenue. As of June 30, 2023, these funds were spent in full.

In July 2022, the Council received funding of $475,733 from New York State under the project titled "New York Counts on Public Broadcasting". These funds are considered unrestricted and have an 18 month expenditure period. As of June 30, 2023, $240,436 of these funds remain unspent and are included in deferred revenue to be recognized in the year ending June 30, 2024.

Additionally, the Council receives, from time-to-time, advances on government grants and lease payments. During the years ending June 30, 2023 and 2022, deferred revenues consist of the following

	2023	2022
American Rescue Plan grant	$ -	$ 46,234
Other deferred grant revenue	240,436	-
Rental - current	37,788	38,717
Rental - noncurrent	75,576	113,364
	$ 353,800	$ 198,315

NOTE 9 - ENDOWMENT FUNDS

The Council's endowment investments consist of donations that have been designated by the donor to function as an endowment. As of June 30, 2023 and 2022, the total amounts donated were $336,237 and are included in net assets with donor restrictions.

The Council has adopted investment and spending policies for the endowment assets that attempt to provide a predictable stream of funding for expenditures described in the endowment policy while seeking to maintain the purchasing power of the endowment assets. The Council's spending and investment policies work together to achieve this objective. The investment policy establishes an achievable return objective through the diversification of asset classes. The Council expects the endowment fund, over time, to provide a consistent rate of return although actual return in any given year may vary.

To satisfy its long-term rate-of-return objectives, the Council relies on a total return strategy in which investment returns are achieved through both capital appreciation (realized and unrealized) and current yield (interest and dividends). The Council targets diversified asset allocation that places a greater emphasis on equity-based investment to achieve its long-term return objectives within prudent risk parameters.

A reconciliation of the beginning and ending balance of the Council's endowment net assets is as follows:

	2023	2022
Endowment net assets at beginning of year	$ 423,873	$ 161,393
Contributions	1,071	283,558
Interest, dividends and realized gains	51,515	3,164
Change in unrealized gains	(2,497)	(60,650)
Endowment net assets at end of year	$ 473,962	$ 423,873

In recording this endowment, the Council has interpreted the portions of the Uniform Prudent Management of Institutional Funds Act adopted by New York State and Not-for-Profit Corporation Law (N-PCL) Section 513 (NYPMIFA). To constitute a true endowment under this law, the restrictions must arise from clearly expressed donor limitations. Any gift received with donor restrictions must be applied in accordance with those restrictions. To do otherwise is a breach of fiduciary duty of the Council's governing board. As a result of these interpretations, the Council classifies as net assets with donor restrictions the aggregate fair value in dollars of: (i) an endowment fund at the time it became an endowment fund; (ii) each subsequent donation to the funds at the time it is made; and (iii) each accumulation made pursuant to a direction in the applicable gift instrument at the time the accumulation is added to the fund. The determination of these components is made in good faith by the Council's governing board, in interpretation of New York State law.

NOTE 10 - NET ASSETS WITH DONOR RESTRICTIONS

The balance in net assets with donor restrictions as of June 30 is as follows:

	2023	2022
Endowment funds (see Note 9)	$ 336,237	$ 336,237

NOTE 11 - LEASE COMMITMENTS

Operating Leases - WSKG as Lessee

The Council is party to two non-cancelable operating lease agreements involving space on transmission towers and land for transmission towers. The leases expire at various dates through September 2023.

A summary of non-cancelable operating lease commitments is as follows:

Year Ending June 30,	Amount
2024	$ 750

Total rent expense under these operating leases amounted to $16,537 and $16,486 for the years ended June 30, 2023 and 2022, respectively

The Council is involved in month-to-month lease agreements for tower rental space and land. The total rent expense paid under these leases was $271,254 and $269,427 for the years ended June 30, 2023 and 2022, respectively.

Operating Leases - WSKG as Lessor

The Council also leases tower and building space to tenants under operating leases, whereby revenue is recognized as lease payments are received. The leases expire at various dates through June 2028. The future minimum lease payments to be received from operating leases, including those signed after June 30, 2023, are as follows:

Year Ending June 30,	Amount
2024	$ 264,182
2025	233,424
2026	222,355
2027	153,701
2028	60,915
Total	$ 934,577

NOTE 11 - LEASE COMMITMENTS (Continued)

The Council is involved in a month-to-month lease agreement to provide tower rental space and land. The total rental income received under this lease was $300 and $1,200 for the years ended June 30, 2023 and 2022, respectively

Total rental income earned amounted to $297,884 and $239,207, for the years ended June 30, 2023 and 2022, respectively.

NOTE 12 - RETIREMENT PLAN

Effective January 1, 2020, the Council established a retirement plan under section 401(k) of the Internal Revenue Code. Under the plan, eligible employees are able to defer up to 100% of their compensation and the Council will match up to 2% of each employee's deferral. In addition, the Council will make an additional non-elective contribution of 5% of compensation for all eligible employees. The Council also has the right under the plan to make additional discretionary contributions. Employees are eligible to defer compensation upon employment and attaining the age of 18. Participation in the Council's contributions requires a year of service as well.

Total pension expenses charged to operations amounted to $137,193 and $110,051 for the years ended June 30, 2023 and 2022, respectively.

NOTE 13 - OTHER INCOME

The following schedule summarizes the components of other income as classified on the Statement of Activities for the years ended June 30, 2023 and 2022:

	2023	2022
Rental income	$ 297,884	$ 239,208
DVD sales	993	1,185
Loss on disposal of property and equipment	(846)	(159,964)
Insurance proceeds	20,000	-
	$ 318,031	$ 80,429

NOTE 14 - COMMITMENTS AND CONTINGENCIES

Purchase Commitments

Purchase commitments outstanding related to programming rights for programs not available for showing until subsequent periods were $522,463 and $492,435 at June 30, 2023 and 2022, respectively.

NOTE 15 - ADVERTISING BARTER TRANSACTIONS

During the year, WSKG engaged in several advertising barter transactions in which various services were provided to WSKG in exchange for underwriting contracts. WSKG recorded these transactions at the fair market value of the services received. The underwriting contracts and services received have been recorded in the financial statements in the appropriate revenue and expense lines. The total amount of revenue and expenses recorded for advertising barter transactions was $20,315 and $1,320 for the years ended June 30, 2023 and 2022, respectively.

NOTE 16 - SUPPLEMENTAL CASH FLOW DISCLOSURES

Cash Payments for Interest and Income Taxes

Cash payments for interest and income taxes were amounted to the following for the years ended June 30:

	2023	2022
Interest	$ 20,607	$ 26,300
Income taxes	$ 25	$ 25

NOTE 17 - LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

The Council's financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of the statement of financial position date, are as follows:

	2023	2022
Cash and cash equivalents	$ 467,780	$ 625,373
Receivables, net	567,152	680,767
Investments	1,259,659	1,192,257
Total financial assets as of year-end	2,294,591	2,498,397
Less assets unavailable for general expenditures within one year due to:		
Permanent endowment restrictions	336,237	3336,237
Financial assets available to meet cash needs for general expenditure within one year	$ 1,958,354	$ 2,162,160

As part of its liquidity plan, the Council also maintains a $400,000 line of credit with a local financial institution (see note 6).

NOTE 18- RELATED PARTY TRANSACTIONS

Several members of the board of trustees own businesses or are employees of entities that sponsor programs of WSKG. Revenues from these transactions amounted to $500 and $7,440 during the years ended June 30, 2023 and 2022, respectively

A member of the board of trustees is a partner in a law firm that provides legal services to WSKG. Total expenditures with this firm amounted to $6,595 for the year ending June 30, 2023. For the year ending June 30, 2022, a different board member, working at a different law firm, was paid $5,237.

A member of the board of trustees is an employee of a financial institution that has loaned money to WSKG. Total interest expense paid to the financial institution amounted to $20,606 and $25,846 during the years ended June 30, 2023 and 2022, respectively.

NOTE 19 - OTHER COMMITMENTS & CONTINGENCIES

The Council had accrued a balance of $108,713 in utilities expenses at a tower location that went unbilled from the provider. In December 2020, the owner of the tower agreed to donate the entire amount of the accrued liability. The revenue and related reduction in accrued expenses have been recognized during the year ending June 30, 2021. There is still an unknown amount due for additional utilities owed at this tower location the Council continues to accrue an estimated amount due. As of both June 30, 2023 and 2022, amounts accrued for these expenses totaled $277,678. The final amount due has still not been determined nor paid, and it is unknown exactly when the payment will be made.

NOTE 20 - PROGRAM DESCRIPTIONS

Youth Focused

WSKG Youth offers quality, educational content, interactive events and tools to understand development and learning. WSKG is a safe and trusted resource for youth. As a part of PBS, WSKG is committed to giving all children the tools they need to learn reading, science, and math - providing them with a greater chance to reach their full potential.

News and Public Affairs

WSKG News & Public Affairs is guided by powerful ethics, public media's best practices and community need. We support an understanding of the issues facing our community through an objective and relentless pursuit of the facts, high quality writing and production, and diligent journalism. In the pursuit of news we insistently question, thoroughly research, intelligently analyze, and ethically share stories with the radio listeners, television viewers and web browsers who rely on WSKG Public Media. Through the content we produce and the stories we tell, we provide insights into our community's struggles and successes. By maintaining an informed citizenry, we work to improve the quality of their life.

NOTE 20 - PROGRAM DESCRIPTIONS (Continued)

Arts and Culture

WSKG's Arts and Culture is guided by an ongoing commitment to provide the community it serves with the best in arts and culture content, locally and nationally, on multiple platforms. We do this to research, preserve and shore the rich and diverse culture of our viewing area with the community and staying consistent with our goal to create relevant content that promotes Upstate New York as a unique cultural destination, to produce compelling stories of the transformative power of the arts and to feature the extraordinary talents of our local musicians and performers.

History and Heritage

WSKG History & Heritage is guided by current research, best practices and community need. We support the understanding of our community's past through top-quality research, production and outreach. We accomplish this through the content we produce and the stories we tell about our region's past, our struggles and successes. With this goal in place we hope we can help our viewers and listeners emerge with relevant skills and an enhanced capacity for informed citizenship, critical thinking and community awareness.

Engineering

Engineering is crucial to the Council's existence as a station. It oversees the operation, installation, maintenance, and implementation of television and radio broadcast equipment and towers on a day-to-day and long-term basis. It also monitors FCC rules and regulations and ensures station compliance with these federal guidelines, including the conversion to a digital broadcast system. This is a government mandated conversion that all television broadcast stations must have completed within a specified time. The Council has met its obligation under this mandate.

WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

STATEMENT OF ACTIVITIES BY CATEGORY
YEAR ENDED JUNE 30, 2023

	AFR Line	TV	Radio	Total
REVENUES				
Membership and contributions				
Public broadcasting entities	A - 2E	$ 26,500	-	$ 26,500
Private colleges and universities	A - 7.1B	4,000	-	4,000
Non-profit grants	A - 8.1B	26,670	28,397	55,067
Business grants	A - 9.1B	12,676	12,884	25,560
Membership	A - 10	685,306	696,557	1,381,863
Special events	A - 14A	52,001	52,854	104,855
Major gifts	A - 19	235,124	237,968	473,092
				2,070,937
Government grants and support				
CPB Community Service Grants	A - 2A	841,719	215,218	1,056,937
Other CPB grants	A - 2B	175,989	-	175,989
NYS grants	A - 4.1B	975,713	130,324	1,106,037
FCC Spectrum Incentive Auction	A - 21	53	-	53
				2,339,016
Program sponsorship				
Other state supported colleges and universities	A - 6.1A	-	3,200	3,200
Private colleges	A - 7.1A	260	13,246	13,506
Non-profit organizations	A - 8.1A	57,550	121,148	178,698
Businesses	A - 9.1A	79,517	292,721	372,238
Trades	C	3,268	17,047	20,315
				587,957
In-kind contributions	D	2,658	2,657	5,315
Net investment gain				
Interest and dividends	A - 15A	18,168	18,467	36,635
Realized gains (losses) on securities	A - 16B	20,409	20,744	41,153
Unrealized gains on securities	A - 16C	(5,722)	(5,816)	(11,538)
				66,250
Loss from Centralcast, LLC	A - 16C	(62,985)	-	(62,985)

(Continued)

See independent auditor's report.

WSKG PUBLIC TELECOMMUNICATIONS COUNCIL

STATEMENT OF ACTIVITIES BY CATEGORY
YEAR ENDED JUNE 30, 2023

	AFR Line	TV	Radio	Total
Other				
Rental income - public broadcasting	A - 2E	$ 7,907	-	$ 7,907
Rental income - local government	A - 3.2A	25,066	-	25,066
Rental income - state colleges	A - 5.2A	5,723	5,723	11,446
Rental income - private colleges	A - 7.2A	300	-	300
Rental income - non-profit organizations	A - 8.2A	50,763	-	50,763
Rental income - other	A - 9.2A	101,201	101,201	202,402
Loss on disposal of property and equipment	A - 16A	(423)	(423)	(846)
Other income	A - 20	993	20,000	20,993
				318,031
TOTAL REVENUES		3,340,404	1,984,117	5,324,521
EXPENSES				
Programming and production				
Youth focused				439,407
News and public affairs				1,304,792
Arts and culture				817,558
History and heritage				601,018
Programming and production totals	E - 1	1,818,432	1,344,343	3,162,775
Engineering	E - 2	465,689	465,688	931,377
Business sponsorship and development	E - 5, E - 6	502,618	655,105	1,157,723
General and administrative	E - 4	130,070	130,070	260,140
Strategic planning and community development	E - 3	177,261	177,261	354,522
TOTAL EXPENSES		3,094,070	2,772,467	5,866,537
CHANGE IN NET ASSETS		$ 246,334	$ (788,350)	$ (542,016)

(Concluded)

See independent auditor's report.